

under the Preferential Market Access (PMA) policy, which is presently on hold. As per the PMA guidelines, all the Central government ministries, departments (except Defence Ministry) and the agencies under their control would have to procure 50 per cent of their requirements of LED products from domestic manufacturers. Also, 50 per cent of domestic value addition in terms of bill of materials (BOM) will be required for these LED products to qualify as domestically manufactured.

"I firmly believe that it is the government that will play an important role to create awareness and propel the use of LEDs in India. For example, the recent reduction of VAT from 12.5 per cent to 5 per cent on LED products by Delhi government is a welcome step, and I firmly believe that initiatives like these will help to speed up their acceptance," adds Arun Gupta.

## MANUFACTURING SCENARIO IN INDIA

**Indigenous manufacturers not benefitting.** As per reports, over 450 companies are operating in the Indian LED lighting space, but what is disappointing is that a major chunk of them are either EPC, distributors, integrators or importers, and a very few of them are actually manufacturing in India. So, despite all the positive signs and high-growth forecasts, in reality, indigenous manufacturers are unable to reap much benefit from the increasing domestic demand, which seems to be ultimately getting fulfilled by imports. Industry experts say that high establishment costs and inventory obsolescence, as compared to the low business volumes in the country, are the main reasons why 90 per cent of the manufacturers make either losses or marginal profits.

Throwing light on the dismal manufacturing scenario, Arun Gupta says, "The LED industry in India is still mostly China-centric for imports. But manufacturing is witnessing a spurt as there are more customers for LED products today than there were three years ago. The industry is already offering very good value propositions in the market,

## Major Players Operating in Indian LED Lighting Sector

(alphabetically)

- Abby Lighting & Switchgear Ltd
- Avni Energy Solutions Pvt Ltd
- Bajaj Electricals Ltd
- Continental Device India Ltd
- Crompton Greaves Ltd
- Goldwyn Ltd
- Halonix Ltd
- Havells India Ltd
- Instapower Ltd
- MIC Electronics Ltd
- MIRC Electronics Ltd
- Moser Baer India Ltd
- NTL Lemnis India Pvt Ltd
- Optics & Allied Engineering Pvt Ltd
- Osram India Pvt Ltd
- Philips Electronics India Ltd
- Reiz Electrocontrols Pvt Ltd
- Sujana Energy Ltd
- Surya Roshni Ltd
- Toshiba India Pvt Ltd
- VIN Semiconductors Pvt Ltd
- Wipro Ltd

making this segment very vibrant and dynamic. Despite being at a nascent stage, all the players in the market know that this is the technology of the future and are therefore looking at it closely."

He further explains, "Today, margins are razor thin because the volumes are yet to come in. Once the volumes start to come in, may be in the next three to five years, the razor-thin margins will become sizeable, and that is when anybody will really make money in the sector. Currently, it is more investment for future returns." "NTL Lemnis has invested heavily in R&D as well as manufacturing facilities in the country and we are producing over 100 types of products, targeted at all categories – home lighting, industrial lighting, professional lighting, streetlighting, etc. Today, the market is most developed for retrofit lamps in India."

**Distributors, integrators reaping the maximum benefit.** The LED lighting market in India is actually dependent on imports, and the real beneficiaries are MNCs operating in India as well as distributors, EPCs and integrators. "It is easier for distributors to add margins and move the product forward after

studying the market trends. The stock-and-sell cycle of manufacturers is traditionally longer and their overheads are higher." Expressing a similar view, Ajay Goel, CEO, Goldwyn Ltd, says, "Distributors who do not hold large stocks make profits. For them, trade margins in LED lights are higher than conventional lights."

Vijay Kumar Gupta, CEO, Kwalify PolyWa, also says, "Integrators earn benefits because they can source as per the demand and can afford to maintain lean operations at the risk of delayed deliveries. Most big projects are government driven and it is mostly the integrators that bag these huge orders."

## Challenges faced by manufacturers

So what is the reason that despite the fast growth of the LED lighting sector in India, the indigenous manufacturers are not getting the maximum benefits. "It's true that people are getting aware of the advantages of LED lighting, which is creating favourable atmosphere for the industry, but still a large section of people are unaware of the benefits of LEDs. This lack of awareness impacts the volume of the business that ultimately pushes the cost of manufacturing, which is still high, and so the cost of the product," Arun Gupta says. High initial cost of LEDs also makes the payback period very long.

According to the industry experts, some of the major hurdles being faced by the indigenous manufacturers are:

**Lack of awareness.** A large section of people in India are still not aware of the huge energy-saving and environment-friendly benefits of the LED lighting products. Though government is continuously trying to increase the awareness through its policies and notifications but it still needs to do a lot to promote the use of LEDs.

**Inverted duty structure.** Due to the inverted duty structure, importing LED lighting products is cheaper than manufacturing. Thus MNCs or distributors import a product and sell it with good profit margins. Integrators also benefit as they import different components at a cheaper price and sell the product at a